# The Labor Market Effects of Competition: Evidence from the Hudson's Bay Company

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**Abstract.** Employers' wage-setting power depends on workers' outside options, yet those options are rarely directly observed in modern labor markets. We study a setting in which the institutions sustaining buyer power and the geography of competing opportunities can be reconstructed: the North American fur trade. The Hudson's Bay Company (HBC) held a royal charter granting exclusive trading rights in the Hudson Bay basin and purchased furs from Indigenous trappers through a sparse network of posts. The expansion of Montreal-based traders, later organized as the North West Company, brought competing buyers within reach. We combine the locations and operating dates of recorded trading posts across companies with newly digitized HBC account books. These books value furs received and goods paid in a common unit, the Made Beaver, allowing us to measure directly the share of the company's Standard valuation received by trappers. Before 1770, trappers received approximately two thirds of that value; by the 1790s, they received nearly all of it. Most of the increase occurred within existing posts. With post and decade fixed effects, a rival within 500 kilometers was associated with a 4.4 percentage point higher share, while proximity to other HBC posts showed no comparable association. We show these results are in line with a spatial oligopsony model, that connects these patterns to the geography and ownership of trading opportunities.

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